higher interest rates). In the early phases of a deleveraging cycle, however, both gold and bonds can move higher together, as aggressive monetary easing will reduce interest rates (i.e., increase bond prices), while at the same time enhancing longer-term concerns over currency depreciation, which will increase gold prices. In this type of environment, gold and bonds can be positively correlated, which is exactly opposite their normal relationship.

Instead of using correlation as a measure of dependence between positions, Dalio focuses on the underlying drivers that are expected to affect those positions. Drivers are the cause; correlations are the consequence. In order to ensure a diversified portfolio, it is necessary to select assets that have different drivers. By determining the future drivers that are likely to impact each market, a forward-looking approach, Dalio can more accurately assess which positions are likely to move in the same direction or inversely—for example, anticipate when gold and bonds are likely to move in the same direction and when they are likely to move in opposite directions. In contrast, making decisions based on correlation, which is backward looking, can lead to faulty decisions in forming portfolios. Dalio constructs portfolios so that the different positions have different drivers rather than simply being uncorrelated.

Bridgewater makes heavy use of spread positions to create holdings that have different drivers. For example, even though different world bond markets may be exposed to similar drivers, various spread positions between those bonds can have different drivers. The use of spread positions is critical in mitigating the problem of highly synchronous behavior between positions in the portfolio in an investment environment that is characterized by shifts between “risk on” and “risk off” (a situation where a broad range of markets move in tandem in response to whether investors are risk-averse or risk-seeking).

Markets behave differently in different environments. The behavior of markets in deleveragings is very different from their responses in recessions. Any fundamental model that assumes static relationships between markets and economic variables will be flawed because those relationships can change dramatically in different market situations. For example, the same government actions that might lead to a sustained